lesson to be learnt is that development comes at a certain cost.

(b) Rural Development Programmes

By the 1970s, the levels of poverty had not declined in spite of overall development of industry and agriculture. The assumption that development would solve the problem of poverty was not realised, and nearly half the population was found to be living below the poverty line. (The poverty line is defined as the level of expenditure required to purchase food grains to supply the recommended calorie level to sustain a person.) Though the percentage of the persons below the poverty line did not increase, as the population grew, the number of persons living below the poverty line kept increasing.

Poverty prevailed both in rural and urban areas. But since nearly three-fourths of the population lived in rural areas, rural poverty was a much more critical problem requiring immediate attention. Poverty levels were also much higher among specific social groups such as small and marginal farmers, landless labourers and depressed classes in resource poor regions without irrigation and with poor soil, etc.

A whole range of rural development programmes was introduced by the government to tackle rural poverty. These included Community Development Programmes, reviving local institutions like Panchayati Raj, and targeted programmes aimed at specific groups such as small and marginal farmers. The thrust was on providing additional sources of income to the rural households to augment their earnings from agriculture. Two major programmes are explained in greater detail below.

Integrated Rural Development Programme (IRDP), 1980–1999

In 1980 a consolidated rural development programme called Integrated Rural Development Programme was introduced. The purpose was to provide rural households with assets which would improve their economic position, so that they would be able to come out of poverty. These could be improvements to the land, supply of cows or goats for dairying or help to set up small shops or other trade-related businesses. Introduced in all the 5011 blocks in the country, the target was to provide assistance to 600 families in each block over five years (1980–1985), which would reach a total of 15 million families.

The capital cost of the assets provided was covered by subsidies (divided equally between the Centre and the States) and loans. The subsidy varied according to the economic situation of the family receiving assistance. For small farmers, the subsidy component was 25%, 33.3% for marginal farmers and agricultural labourers, and 50% for tribal households. Banks were to give loans to the selected households to cover the balance of the cost of the asset. About 53.5 million households were covered under the programme till 1999.

Dairy animals accounted for 50% of the assets, non-farm activities for 25% and minor irrigation works for about 15%. The functioning and the effects of IRDP were assessed by many economists as well as government bodies. These studies raised many questions about the end result.

Lack of proper selection procedures for identification of beneficiaries, insufficient investment per household, absence of post implementation audits of the scheme, regional disparities in lifting the identified beneficiaries above the poverty line was a major issue.

Considering the limited success achieved by the programme it was restructured in 1999 as a programme to promote self-employment of the rural poor.

Mahatma Gandhi National Rural Employment Guarantee Act, 2005 (MGNREGA)

Over the years, due to concerted efforts, the percentage of households below the poverty

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